

Bolivia's Political Situation

Bolivia, South America

SIGNAL

Bolivia's Congress ratified a \$1.9 billion IMF program while the administration simultaneously received its strongest U.S. endorsement to date, locking economic stabilization into binding external commitments.

FRACTURE

The subsidy elimination and market liberalization that unlocked external financing will re-ignite the social conflict that has already shattered Paz's coalition and popular mandate.

By December 2026, Paz will have passed no structural reform through Congress and will govern exclusively through military-backed emergency decree, unable to legislate or restore popular consent.

45%

PROBABILITY

TARGET: DECEMBER 2026

CONFIDENCE: MEDIUM

WHAT'S NEW

- **Probability held at 45%** (downward revisions: 60% → 50% on 28-08-2026 when the coalition ruptured, → 45% on 16-09-2026; no change this cycle). Prediction refined to a single-claim formulation: "By December 2026, Paz will have passed no structural reform through Congress and will govern exclusively through military-backed emergency decree, unable to legislate or restore popular consent." The two headline developments since the last report cut in opposite directions and net out roughly even: the September 18 congressional ratification of the \$1.9 billion IMF program and Marco Rubio's September 21 UNGA endorsement are the most concrete wins of Paz's presidency, materially strengthening the "survive" clause. But the conditions attached to that same deal – immediate end to diesel subsidies, cost-recovery fuel pricing by January 2027 – lock in the next round of guaranteed social conflict, which strengthens the "governs through decree" and "unable to legislate" clauses. The prediction is a single-claim falsifiable statement, and the stress dynamics offset.
- **Congress ratified the \$1.9B IMF program (September 18).** Senate ratification a day after lower-house approval delivered Paz a major legislative victory and is expected to unlock ~\$5 billion in additional World Bank/IDB financing. Hours later Paz ended diesel subsidies for trucks, buses and tractors.
- **State of emergency extended 90 days (September 17).** Congress voted 100-58 to extend exceptional powers to roughly mid-December, with the executive warning of a possible state of siege if blockades return.

- **Rubio-Paz meeting at UNGA (September 21).** The U.S. State Department readout called Bolivia "a critically important regional partner," explicitly endorsing IMF support and fuel/mining/energy reform. This is the strongest U.S. reaffirmation since Rubio's June pledges.
- **Santa Cruz set a hard deadline: October 10 (Democracy Day).** The Asamblea de la Cruceñidad approved demands for full liberalization of fuel import/distribution, repeal of Supreme Decree 5676, and an end to YPFB's distribution monopoly – warning of "graduated" street mobilizations and a possible cabildo if unmet.
- **Evo Morales organized an October protest roadmap.** He convened the September 26 "Evo Pueblo" National Assembly in Lauca Ñ to define protests from October onward. On September 13, he called the government "agonizing" and denounced the IMF deal as "imposition and blackmail." Cocalero defenders declared "maximum alert," reinforcing an estimated 8,000-10,000-strong armed security cordon.
- **Morales filed a habeas-corpus-style challenge in Beni (September 25)** against the Tarija arrest warrants, confirming he remains a fugitive contesting two active warrants (aggravated human trafficking and sedition/terrorism over the blockades) plus a third in Santa Cruz.
- **Cerimedo scandal widened** into money-laundering and drug-trafficking probes; prosecutors seized ~\$43,000 cash and a "bot farm," and investigators linked a cold crypto wallet to accounts reportedly holding \$130 million. Paz's intelligence chief was confirmed to be in contact with Cerimedo.

ANALYSIS

| POLITICAL

Paz's political position is best understood as surviving but structurally hollowed out. The September 18 IMF ratification looks at first glance like a reversal of his congressional weakness – the same legislature that voted to oust his economy minister in August just handed him his signature policy. But the vote is not evidence of a working majority; it is evidence that a fractured, panicked Congress, facing an economy on the edge of collapse and the alternative of shouldering blame for a default, coalesced around the only available stabilization lifeline. The National Unity party that broke with Paz in August did not return to his camp; its break was over governance method (Paz's reliance on decree), and the IMF bill passed not because Paz rebuilt a coalition but because no bloc wanted to be seen killing the one deal with money attached. Paz's bloc still holds only 65 of 130 seats – the largest but short of a working majority – and all three major blocs remain fractured.

The deeper structural problem is unchanged and worsening. Approval has collapsed from 65% (November 2025) to 32% (July 2026), with disapproval at 55% – a governing-without-consent dynamic that has forced him to rule through emergency decree and the threat of force. Only 6 of his original 15 ministers remain. Vice President Edmand Lara has converted from

coalition partner to self-described "constructive" opposition and was formally asked to convene the emergency-extension vote – an arrangement that institutionalizes the rupture at the top of the executive. Decree 5503, the leaked radical reform package prepared outside the legislative process, signals a government that has effectively given up on structural reform through Congress and now governs around it.

The opposition is organizing against a calendar, not just a policy. Morales's September 26 assembly in Lauca Ñ is explicitly timed to prepare an October mobilization roadmap, and his movement has set December 2026 departmental congresses and a March 2027 "refoundation" congress – a multi-year organizing horizon that treats the coming months as a protracted war of attrition. Left-wing senator Nilton Condori is separately convening an October 18 "popular bloc" assembly in El Alto and has invited both Lara and Morales, indicating parallel attempts to consolidate an anti-Paz front. The government's prosecutorial offensive against Morales – two active warrants plus a third in Santa Cruz – has ironically strengthened his siege narrative, with his core claiming 8,000-10,000 armed defenders willing to "give their lives."

The Trump administration's embrace is now Bolivian political reality. Rubio's "critically important regional partner" framing converts Paz's alignment with Washington from a liability into an open dependency – one that Morales and the left use as fuel. U.S. backing locks in survival for the near term but also locks in the precise grievance – pro-market, pro-U.S. austerity – that radicalizes the street opposition.

ECONOMIC

The economic picture is a stabilization program whose concrete deliverables are years away and whose immediate cost is being paid in social conflict. The \$1.9 billion IMF EFF (36-month), ratified September 18, is condition-heavy: an end to all fuel subsidies by January 2027, fiscal consolidation of roughly 8.5% of GDP across 2026-2029, and the elimination of the diesel subsidy that Paz executed within hours of the congressional vote. Economy Minister Christian Morales framed the deal as the key to unlocking ~\$5 billion in additional multilateral financing, but disbursement still awaits IMF executive-board approval.

The subsidy arithmetic is brutal. Bolivia's annual fuel-subsidy bill grew from \$627 million to \$2.4 billion in four years (Fundación Jubileo), with Hydrocarbons Minister Marcelo Blanco citing ~\$200 million/month in current subsidy spending – more than double earlier estimates. Supreme Decree 5676 (August 16) split the diesel market, pushing large consumers to a reference price near Bs 18/liter; the government later carved out small producers (up to 2,500 liters/month at the subsidized Bs 9.80) after early-September farmer blockades, and scaled the large-consumer reference back to Bs 16.50. Supreme Decree 5683 doubled YPFB's Treasury coverage ceiling to Bs 2 billion (~10 days of fuel). The government has already admitted failure on the 83.7% diesel hike and signaled plans to repeal it – a pattern of imposing, then retreating from, austerity that erodes credibility with both markets and the street.

The macroeconomic backdrop remains severe: GDP projected at -3.6% for 2026, inflation near 17%, and the boliviano at 12.26/USD – about 76% above the abandoned 6.96 peg. The

state of emergency has suppressed, not resolved, the underlying shortages. YPFB is now under a 180-day state intervention (Decree 5697, September 1), roughly half of state-imported fuel is estimated to be smuggled with YPFB employee complicity, and 10,000+ vehicles were damaged by contaminated gasoline that took down the ex-hydrocarbons minister. Genuinely stabilizing this system requires the structural reforms (labor, tax, state-enterprise) that Paz cannot pass through a fractured Congress – which is precisely why the government is attempting them by decree.

MILITARY

The military is simultaneously the government's last instrument of governance and the source of its gravest reputational exposure. The state of emergency, extended September 17, grants armed forces broad power to remove blockades, and Paz has explicitly warned that a state of siege is possible. The military has already been deployed to clear roads and reopen supply lines, and it is the implicit backstop behind every fuel-delivery and YPFB-intervention operation. This converts the armed forces from a security institution into a governance function – the precise "governs through military-backed emergency decree" dynamic in the prediction.

But the military's own stability is under question. The September 4 twin explosions at the Viacha military base – attributed to stored pyrotechnics – killed 10 and injured 62, a disaster that raised immediate questions about maintenance, oversight and institutional discipline inside the barracks. More corrosive is the Morales conflict's militarization: the cocalero cordon around Lauca Ñ is reported to include reservists and armed foreigners, and Defense Minister Justiniano's public insistence that "Morales will be detained" has not been matched by any attempt to execute the warrants, suggesting the government calculates that a raid into the Chapare would trigger an armed confrontation the military cannot win without mass casualties. The OAS RedPol0EA unarmed police mission, still being designed with initial U.S. financing, is an implicit acknowledgment that domestic security capacity cannot manage the situation alone.

There is also a pernicious feedback loop: the Cerimedo scandal's expansion into drug-trafficking and irregular-flight investigations has drawn the intelligence apparatus into disrepute (the intelligence chief is confirmed in contact with Cerimedo), while the government's heavy reliance on the military for civilian order-making risks the institutional erosion that precedes either a coup dynamic or a collapse of restraint under sustained street pressure.

TECHNOLOGICAL

Bolivia's lithium bet – the country's best long-term answer to hydrocarbon decline – is being overtaken by geopolitical timing and domestic paralysis. China's November 10 activation of export controls on lithium-related inputs and technologies shortens the window in which Bolivia's 23-million-tonne reserve can be monetized on favorable terms. The two anchor contracts – Uranium One (Russia/Rosatom, \$970 million) and Hong Kong CBC (China/CATL, ~\$1 billion) – remain unratified by a legislature that cannot assemble the political consensus to approve them. A Potosí court has now suspended legislative processing of the CBC/Citic Guoan and Uranium One contracts pending environmental impact

assessments, responding to the Cupconl coalition of 53 Indigenous communities citing water and consultation rights.

The strategic realignment cuts both ways. Paz's April 27 critical-minerals MOU with the United States, and his elimination of the Ministry of Development Planning/Environment (Supreme Decree 5675) to clear the regulatory path for Western mining, tilt the sector toward U.S. and Western capital – consistent with Rubio's UNGA emphasis on "mining and energy sector reforms." But that pivot requires functional contracts, updated environmental and indigenous-consent frameworks, and a stable legal environment – none of which exist while the legislature is frozen and the state of emergency persists. The YPFB intervention, focused on the hydrocarbons that still dominate the economy, further diverts administrative capacity away from the lithium agenda. The technological-sector outcome is therefore the same as the political one: irreversible strategic decisions have been made, but the institutional capacity to execute them is absent, and Bolivia risks arriving late to a lithium market it was once positioned to lead.

WATCH INDICATORS

- **October 10 (Democracy Day).** Whether Santa Cruz's civic/farm sectors execute graduated mobilizations or a cabildo if fuel-liberalization and Decree 5676-repeal demands go unmet – the single most important near-term trigger.
- **Morales arrest execution.** Any attempt to enforce the Tarija/Santa Cruz warrants into the Chapare, against a claimed 8,000-10,000-strong armed cordon, would be a flashpoint with military and civilian-casualty implications.
- **IMF executive-board approval and first disbursement.** Timing and size of the actual money release will determine whether the deal converts into tangible relief or remains a commitments-only asset.
- **January 2027 fuel-subsidy elimination.** Whether the government sustains cost-recovery pricing or, as it has repeatedly, imposes then retreats – a direct test of the "political crippling" clause.
- **State of emergency / state of siege.** Whether exceptional powers are extended again past mid-December, converted into a formal state of siege, or allowed to lapse into renewed blockade cycles.
- **Cerimedo investigation trajectory.** Depth of any proven link to the presidency or intelligence apparatus, and whether the drug-trafficking/irregular-flight lines draw in senior officials.
- **U.S. support durability.** Whether the OAS RedPolOEA mission materializes and whether U.S. financing/endorsement translates into visible on-ground backing, or fades after UNGA.

PROBABILITY TRIGGERS

THING	DIRECTION
IMF executive board approves and disburses \$1.9B, unlocking multilateral funding	Down
Santa Cruz executes October 10 mobilizations / cabildo	Up
Government executes Morales arrest into the Chapare	Up
Paz retreats on diesel/Decree 5676 again, or fails to hold cost-recovery fuel pricing	Up
A plural anti-Paz front consolidates (Morales-Lara-Condori popular bloc)	Up
Cerimedo probe produces a direct link to the presidency	Up
U.S. converts endorsement into sustained material support (OAS mission, mining finance)	Down
A conclusive, non-violent resolution of the fuel crisis (liberalized imports, YPFB reform)	Down

KEY SOURCES

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3. Reuters – Bolivia extends state of emergency over risks of new blockades (Sep 17, 2026)
4. bne IntelliNews – Bolivia issues arrest warrant for ex-president Morales over deadly blockades
5. Al Jazeera – Evo Morales defiant after new Bolivia arrest warrant (Jul 30, 2026)
6. Visión 360 – Evo Morales acude a la Justicia en Beni contra proceso de Tarija (Sep 25, 2026)
7. Latin Times – Bolivia's Diesel Crisis Just Got a Deadline: October 10, Democracy Day (Sep 2026)
8. Energy News – Bolivia Places YPFB Under State Intervention Amid Fuel Shortages (Sep 2026)
9. Reuters – Explosion at Bolivia military base kills at least 10 (Sep 5, 2026)
10. Buenos Aires Times – Bolivia scandal shines light on Cerimedo's far-right connections
11. El País – Bolivia opens investigation into former presidential advisor for alleged links to drug trafficking (Aug 26, 2026)
12. Bolivian Thoughts – Santa Cruz sets ultimatum: protests starting October 10 (Sep 2026)

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